ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 04 - DOUBLE BOTTOM DOUBLE TOP

INTRODUCTION TO DOUBLE TOPS AND BOTTOMS

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This teaching focuses specifically on double tops and bottoms within the ICT Mentorship content. We will begin by discussing measured moves, clean highs, and clean lows in price action.

Looking at a drop in price with relatively equal highs, there is a reoccurring phenomenon of measured moves in the marketplace. For instance, a price swing projected upwards can give a close approximation to a future high level.

ICT'S BLEND OF INSTITUTIONAL AND RETAIL PERSPECTIVES

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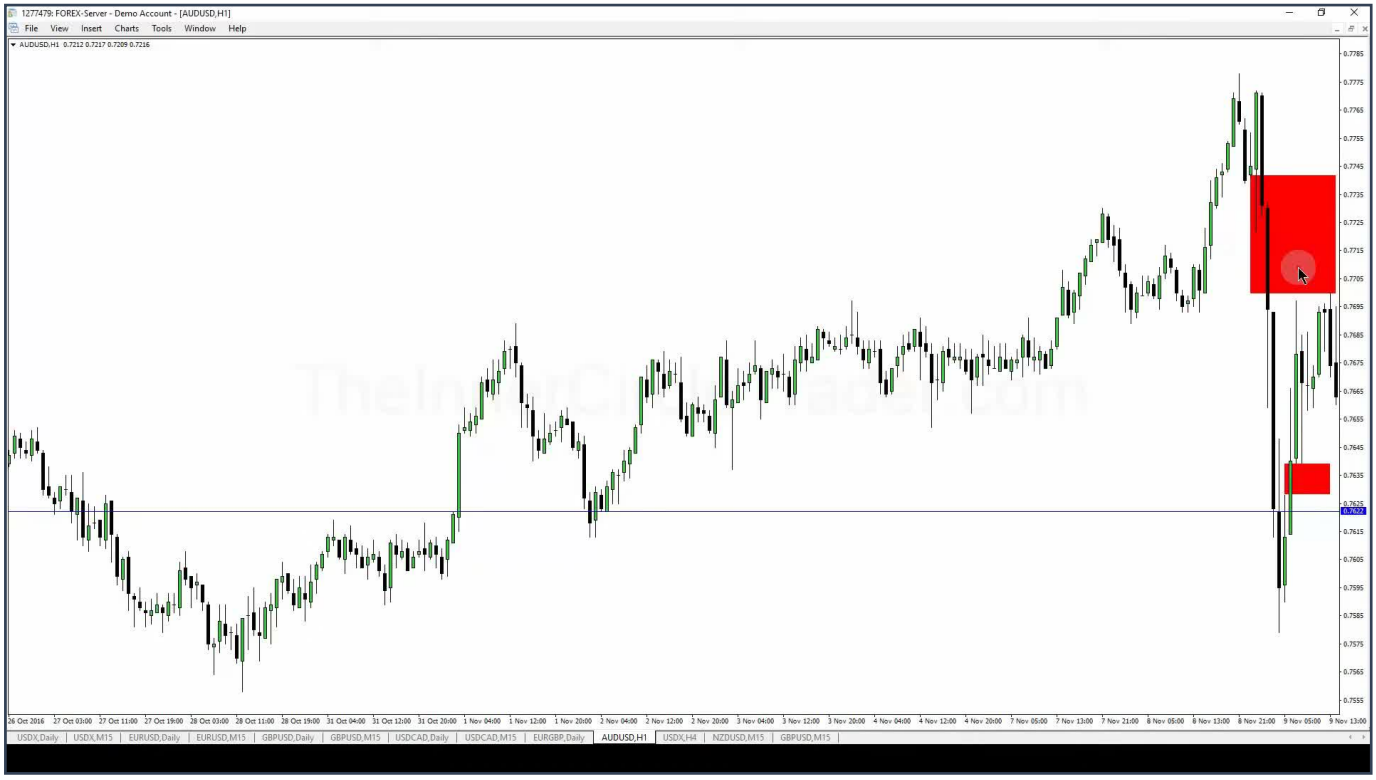
As a developing trader, ICT blended institutional and retail trading concepts. This involved understanding that price would run stops above highs and below lows. By integrating these insights with price delivery and observing patterns like double tops, specific market behaviors became apparent.

When two highs are in close proximity, indicating a double top, price often shows a willingness to go lower. The focus then shifts to identifying liquidity pools and ranges above and below such consolidations.

To understand potential price movements, it is crucial to delineate liquidity pools and ranges. For example, identify specific candle opens and highs to define a range. In a scenario with predominantly sell-side delivery below a certain candle, a liquidity void (or gap) exists.

Conversely, a fair value gap can be identified lower down, alongside a bullish order block. A bullish order block is typically the last down candle before a significant up move, with its open being a key reference point. Mapping out these elements on both sides of the market allows for building reasonable expectations for price action.



The retail trading universe typically views a double top as resistance, prompting short positions with protective buy stops placed above these highs. They would anticipate price to trade down to previous support levels.

From an institutional perspective, the understanding is that buy stops are accumulated above the double top. The market maker might initially drive price lower to:

- Close a fair value gap.

- Hit a bullish order block.

After achieving this, price is then expected to rally to clear out the buy stops above the double top. Alternatively, the market might trade up into a liquidity void to close it, then trade lower to close a fair value gap or hit a bullish order block.

EXECUTING THE DOUBLE TOP LIQUIDITY RUN

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In a typical scenario, if the market starts to break down, it will first seek sell-side liquidity. This means dropping into areas like a fair value gap or a bullish order block. Following this, the expectation is for the equal highs (double top) to be 'blown out' as price moves to clear buy stops and reach into a liquidity void.

Example sequence:

- Market drops, hitting a bullish order block, showing willingness to rally.

- The double top is then breached, and buy stops are liquidated.

- Price focuses on closing the liquidity void, precisely trading up to the opening of a specific bearish order block candle, sometimes to the pip. The high of the candle often matches the open of the bearish order block candle that preceded the down move.

This demonstrates a double top buy stop liquidity run up into a liquidity void to a bearish order block, followed by a run on liquidity below previous lows.

DOUBLE TOP: MEASURED MOVES AND MOMENTUM DIVERGENCE

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Consider another double top. Price trading down into a bullish order block (the last down candle before an up move) presents a buying opportunity. Retail traders perceive this double top as resistance and place protective buy stops above it, anticipating a sell-off.

However, from an institutional view, price will aim to go beyond this 'resistance'. The extent of this move can be projected by measuring the distance from the high of the double top down to the low between the two peaks. This measurement is then projected upwards from the double top to determine the algorithmic objective.

Often, momentum divergence will be observed at the level of old resistance (the double top), deceiving retail traders into selling, while the market is primed to hit the projected measured move objective, running buy stops. The market rallies, trades through, sometimes hitting the objective within one pip, then a subsequent down move runs out liquidity below lows.

Now, let's apply the concept to a double bottom. Retail traders perceive a double bottom as support, expecting price to rally away. Consequently, sell stops will accumulate below these lows.

To determine the algorithmic objective for a move through a double bottom, measure the distance from the high between the two troughs down to the low of the double bottom. This range is then projected downwards from the double bottom. This projection provides the specific price level where the algorithm will seek to expand and take out downside liquidity.

After hitting this objective, subsequent price action often shows a reaction back up towards the double top reference point, illustrating how the algorithm references these past price points.

A crucial insight is that the algorithm inherently understands and remembers double top and double bottom reference points, even if significant time has passed. It uses these consolidation areas to make projections, expanding price action above and below these zones. This algorithmic behavior explains the characteristic 'spike reversals' observed in the marketplace and the subsequent price reactions.

Key Principles:

- Never trust double bottoms and double tops as absolute support or resistance.

- Market makers and the interbank algorithm will run through old highs and lows to clear liquidity (sell stops below, buy stops above).

- High probability trading occurs at the extreme ends of a range, while the middle of the range presents low probability setups.

Going forward, consistently highlight double top and double bottom areas on your charts. These provide laser-guided precision levels where price will intentionally drive through to clear buy stops (above) or sell stops (below).

Considerations for application:

- Timeframes: While 15-minute or 5-minute charts might show 10-20 pip stop runs, higher timeframes like the hourly chart demand a different approach. The algorithm uses these double top/bottom reference points for larger moves, with ranges potentially expanding significantly (e.g., 48 pips) based on the consolidation movement.

- Clean Levels: Focus on identifying 'clean' levels. Even if there isn't an immediate trade, this information provides valuable insight for future price movements, especially when price eventually runs through such levels and reverses, signaling the next liquidity target (e.g., cell stops after buy stops are taken).

This phenomenon is observable across all timeframes. Practice identifying it to enhance your trading insights.